NIGERIAN ENAMELWARE PLC

FINANCIAL STATEMENTS
FOR THE YEAR ENDED
30 APRIL 2026

Contents

The reports and statements set out below comprise the financial statements presented to the shareholders:

Directors and Other Corporate Information

Company registration number	RC 2192
Nature of business and principal activities	Manufacturing and sale of Enamelware products including cooking utensils and culinary materials.
Directors	Bamofin Olatokunbo Sanni – Chairman Mr. Taiwo Alli – Managing Director Mr. Yujung Tang – Technical Director Mr. Lawrence Iseh – Finance Director Mr. Olaniyi Banjo – Admin Director Mr. Kevin Cao Liang – Non-Executive Director Baale S. O. Ogunnowo – Independent Non-Executive Director
Registered office	18, Wempco Road Ogba, Ikeja Lagos.
Company Secretary	Oyetola Oluwafemi 18, Wempco Road Ogba, Ikeja Lagos.
Registrars	Greenwich Registrars and Data Solutions 274, Murtala Mohammed Way Alagomeji, Yaba. P.M.B. 12717 Lagos.
Legal advisors	Adedoyin Awosanya & Co. Elesho Chambers Plot 120, Oyadiran Estate Sabo, Yaba, Lagos.
Auditors	Sola Oyetayo & Co. 33, Ogunlowo Street Off Obafemi Awolowo Way Ikeja, Lagos.
Bankers	Stanbic IBTC Bank Limited United Bank for Africa Plc Globus Bank Limited Fidelity Bank Plc

NIGERIAN ENAMELWARE PLC
Financial Statements for the year ended April 30, 2026

Result at a Glance

1. Financial Summary

	30 April 2026 N.'000	30 April 2025 N.'000	Increase/ (Decrease) %
Revenue	1,301,835	1,431,093	-9%
(Loss)/Profit before taxation	(82,335)	24,934	-430%
(Loss)/Profit after taxation	(80,109)	15,476	-618%
Issued share capital	38,016	38,016	-
Shareholders' funds	(808,881)	(728,772)	-11%

2. Per Share Data

Based on 76,032,000 ordinary shares of 50k each			
Earnings per share (kobo)	(105)	20	-625%
Net assets per share (kobo)	(1,064)	(959)	-11%

3. Other Data

Number of shareholders	4,374	3,794	15%
Number of employees	110	80	37.5%

Directors' Report

The directors are pleased to submit to the members of the company their annual report together with the audited financial statements for the year ended April 30, 2026.

1. Legal form

The company was incorporated on May 21, 1960, as a private limited liability company.

It went public on December 28, 1979, in compliance with the Indigenization Decree of 1977 and was granted a listing on the NGX Limited. It adopted its present name of Nigerian Enamelware Plc on June 6, 1991, in compliance with the provisions of the Companies and Allied Matters Act 2020.

2. Principal activities

The principal activities of the company are the manufacturing and marketing of enamelware products.

3. Review of financial results and activities

The financial statements have been prepared in accordance with IFRS Accounting Standards, the requirements of the Companies and Allied Matters Act 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended, 2023). The accounting policies have been applied consistently compared to the prior year.

The results of the company’s operations for the year are as stated below:

	30 April 2026 N.'000	30 April 2025 N.'000
Revenue	1,301,835	1,431,093
(Loss)/Profit before taxation	(82,335)	24,934
Tax written back/(expense)	2,226	(9,458)
(Loss)/Profit after taxation	**(80,109)**	**15,476**

4. Directors

The directors in office during the year are as follows:

Directors	Office	Designation
Bamofin Olatokunbo Sanni (appointed on June 30, 2021)	Chairman	Non-executive
Mr. Taiwo Alli (appointed on June 30, 2021)	Managing Director	Executive
Baale S. O. Ogunnowo (appointed on June 30, 2021)	Independent	Non-executive
Mr. Yujung Tang (appointed on June 30, 2021)	Technical Director	Executive
Mr. Lawrence Iseh (appointed on June 30, 2021)	Finance Director	Executive
Mr. Olaniyi Banjo (appointed on January 4, 2022)	Admin Director	Executive
Mr. Kevin Cao Liang (appointed on July 25, 2024)	Non-executive	Non-executive

In accordance with the Company's Articles of Association, Bamofin Olatokunbo Sanni and Mr. Lawrence Iseh were re-elected on November 6, 2025 at the company's annual general meeting. However, Mr. Lawrence Iseh died on June 26, 2026 prior to the board approval of these financial statements.

Directors' Report

4. Directors (continued)

Directors' shareholdings

Number of shares of 50kobo each held as at:	30 April 2026	30 April 2025
Bamofin Olatokunbo Sanni	-	-
Baale Sunday Ogunnowo	1,584	1,584
Mr. Kevin Cao Liang	-	-
Mr. Taiwo Alli	-	-
Mr. Lawrence Iseh	-	-
Mr. Yujung Tang	-	-
Mr. Olaniyi Banjo	-	-

5. Directors' other interests

No director has notified the company of any involvement or interest in any business contract with the company during the year.

As at April 30, 2026, the unit price of the Company's share on the floor of the NGX Limited was N37.00 (2025: N25.30k).

6. Shareholdings

The shares of the company were beneficially held as follows:

	30 April 2026	30 April 2025	%
I-Feng Company Ltd	45,619,200	45,619,200	60
Nigerian citizens and associations	30,412,800	30,412,800	40
	76,032,000	**76,032,000**	**100**

The range of shareholders as at April 30, 2026 was as follows:

Range	No. of shareholders	No. of units held
1 - 10,000	3,944	8,817,417
10,001 - 50,000	353	7,074,113
50,001 -100,000	35	2,436,956
100,001 -1,000,000	40	9,926,407
Over 1,000,000	2	47,777,107

Except as noted above, no individual shareholders held more than 5% of the issued share capital of the company at April 30, 2025.

7. Dividends

The board does not recommend the declaration of a dividend for the year (2025: Nil).

8. Company's suppliers

The company sources its raw materials from local and foreign suppliers.

9. Employment and employees

Employment of disabled persons

It is the policy of the company that there should be no discrimination in considering applications for employment including those from disabled persons. All employees, whether or not disabled, are given equal opportunities to widen their experience and knowledge and to qualify for promotion in furtherance of their careers. As at April 30, 2025, there were two (2) disabled persons employed by the company.

Directors' Report

9. Employment and employees (continued)

Health, safety at work and welfare of employees

Health and safety regulations are in force within the premises of the company. The company maintains a well-equipped clinic which is run by a qualified Nurse. In addition, the company has entered into agreement with private hospitals run by qualified Medical Doctors to whom serious cases of illness are referred to for treatment.

Employees' involvement and training

The Company is committed to keeping employees fully informed as much as possible regarding its performance and progress and seeking their views wherever practicable on matters which particularly affect them as employees.

Management, professional and technical expertise are the company's major assets and investment in developing such skills continues. The company's expanding skill base has extended the range of training provided and has broadened opportunities for career development within the organization. Incentive schemes designed to meet the circumstances of each individual are implemented wherever appropriate.

10. Charitable gifts and donations

No donation was made by the Company during the year under review (2025: Nil).

11. Audit committee

In accordance with section 404 (6) of the Companies and Allied Matters Act, 2020, two members of the audit committee of the company were re-elected at the annual general meeting held on November 6, 2025, comprising Baale Sunday Ogunnowo and Mr. Kevin Cao Liang. Three new members representing the shareholders were elected at the meeting comprising Mr. Thomas Oyebamiji Babalola (Chairman), Mr. Otukoya Oluwasesan, and Miss Moradeke Helen Adegboyega.

12. Auditors

Messrs. Sola Oyetayo & Co. have indicated their willingness to continue in office in accordance with Section 401(2) of the Companies and Allied Matters Act 2020.

By Order of the Board

Oyetola Oluwafemi
FRC/2022/PRO/NBA/004/00000024089
Company Secretary
Ikeja, Lagos
Nigeria.

July 23, 2026.

Corporate Governance Report

Nigerian Enamelware PLC subscribes to the highest level of corporate governance and best practice in the conduct of its business. The Board is in compliance with the Code of Corporate Governance for Public Companies issued by the Securities and Exchange Commission in 2011.

The Board is also committed to implementing the corporate governance principles and guidelines contained in the Nigerian Code of Corporate Governance (NCCG) 2018 released by the Financial Reporting Council of Nigeria, the Securities and Exchange Commission's Corporate Governance Guidelines issued in October 2020 and the Companies and Allied Matters Act 2020 including the Company Regulations 2021.

1. The Board of Directors

The Board of Directors is the ultimate governing body of Nigerian Enamelware Plc. The Board has the overall responsibility for the oversight of the business, long-term strategy and objectives.

The Board consists of two (2) Non-Executive Directors, one (1) Independent Non-Executive Director and four (4) Executive Directors.

1.1 Board meetings

Directors in attendance at the board meetings held during the year ended April 30, 2026 are marked "Y" in the table below.

Director	22/07/2025	17/09/2025	15/01/2026	26/03/2026
Bamofin Olatokunbo Sanni	Y	Y	Y	Y
Mr. Taiwo Alli	Y	Y	Y	Y
Baale S. O. Ogunnowo	Y	Y	Y	Y
Mr. Yujung Tang	Y	N	Y	Y
Mr. Lawrence Iseh	Y	Y	Y	Y
Mr. Olaniyi Banjo	Y	Y	Y	Y
Mr. Kevin Cao Liang	Y	Y	N	Y

N – Absent

1.2. Audit Committee meeting

Members in attendance at the committee meetings held during the year ended April 30, 2026 are marked "Y" in the table below.

	22/07/2025	17/09/2025	15/01/2026	26/03/2026
Mrs. Oluwamayokun Kolawole	Y	Y	NA	NA
Baale Sunday O. Ogunnowo	Y	Y	Y	Y
Mr. Moses Okorie	N	Y	NA	NA
Mr. Kayode Adesiyan	Y	Y	NA	NA
Mr. Kevin Cao Liang	Y	Y	N	Y
Mr. Thomas Oyebamiji Babalola	NA	NA	Y	Y
Mr. Otukoya Oluwasesan	NA	NA	Y	Y
Miss Moradeke Helen Adegboyega	NA	NA	Y	Y

NA – Not Applicable as the committee member was not in office at this time.

N – Absent

At the annual general meeting held on November 6, 2025, Mrs. Oluwamayokun Kolawole, Mr. Moses Okorie and Mr. Kayode Adesiyan representing the shareholders were not re-elected into office. Three new members were elected in their place comprising of Mr. Thomas Oyebamiji Babalola (Chairman), Mr. Otukoya Oluwasesan, and Miss Moradeke Helen Adegboyega.

Corporate Governance Report

1.3. Finance & General-Purpose Committee meeting

Members in attendance at the committee meetings held during the year ended April 30, 2025 are marked "Y" in the table below.

	21/07/2025	16/09/2025	14/01/2026	25/03/2026
Baale Sunday O. Ogunnowo	Y	Y	Y	Y
Mr. Kevin Cao Liang	Y	Y	N	Y
Mr. Taiwo Alli	Y	Y	Y	Y
Mr. Lawrence Iseh	Y	Y	Y	Y

N – Absent

2. Insider Trading and Price Sensitivity Information

The Company is clear in its prohibition of insider trading by its board, management, officers and related persons who are privy to confidential price sensitive information. Such persons are further prohibited from trading in the Company's securities where such transactions would amount to insider trading. Directors, insiders and related parties are prohibited from disposing, selling, buying or transferring their shares in the company for a period commencing from the date of receipt of such insider information until such a period when the information is released to the public or any other period as defined by the company from time to time.

3. Complaints Management policy

The Company has in place a Complaints Management Policy Framework in accordance with the directive of the Securities and Exchange Commission on resolution of complaints. The policy can be accessed via the company's website www.newcoplcng.com.

By Order of the Board

Oyetola Oluwafemi
FRC/2022/PRO/NBA/004/00000024089
Company Secretary
Ikeja, Lagos.

Statement of Corporate Responsibility for the Financial Statements

Certification Pursuant to Section 405 (1) of Companies and Allied Matters Act 2020

We the undersigned hereby certify the following with regard to our audited financial statements for the year ended April 30, 2026 that:

a) We have reviewed the report;

To the best of our knowledge, the report does not:
- contain any untrue statement of material fact, or
- omit to state a material fact, which would make the statements misleading in the light of circumstances under which such statements were made:

b) To the best of our knowledge, the financial statements and other financial information included in this report fairly present in all material respects the financial condition and results of operation of the company as of, and for the periods presented in this report.

c) We:
- are responsible for establishing and maintaining internal controls;
- have designed such internal controls to ensure that material information relating to the company is made known to such officers by others within those entities particularly during the period in which the periodic reports are being prepared;
- have evaluated the effectiveness of the company's internal controls over the financial reporting as of date within 90 days prior to the reports;
- have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;

d) We have disclosed to the auditors of the company and audit committee:
- All significant deficiencies in the design or operation of internal controls which would adversely affect the company's ability to record, process, summarize and report financial data and have identified for the company's auditors any material weakness in internal controls, and
- Any fraud, whether or not material, that involves management or other employees who have significant role in the company's internal controls;

We have identified in the report whether or not there were significant changes in internal controls or other factors that could signiicantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and nmaterial weaknessess.

Bamofin Olatokunbo Sanni
Chairman
FRC/2013/PRO/DIR/003/00000001153

Taiwo Alli
Managing Director/CEO
FRC/2022/PRO/NIM/002/00000024090

Olakunle Babatunde Adeoye
Chief Financial Officer
FRC/2022/PRO/ICAN/001/403601

Statement of Directors' Responsibilities in Relation to the Preparation of the Financial Statements

The directors of Nigerian Enamelware Plc. are responsible for the preparation of the financial statements that present fairly the financial position of the company as at April 30, 2026 and results of its operations, cash flows and changes in equity for the year ended, in compliance with the IFRS Accounting Standards and in the manner required by the Companies and Allied Matters Act 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended, 2023).

In preparing the financial statements, the directors are responsible for:

- properly selecting and applying accounting policies;
- presenting information, including accounting policies in a manner that provides relevant reliable comparable and understandable information;
- providing additional disclosures when compliance with the specific requirement of IFRS Accounting Standards are insufficient, to enable users understand the impact of particular transactions and conditions on the company's financial position and financial performance; and
- making an assessment of the company's ability to continue as a going concern.

The directors are responsible for:

- designing, implementing and maintaining an effective and sound system of internal controls throughout the company;
- maintaining adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company, and which enable them to ensure that the financial statements of the company comply with IFRS Accounting Standards;
- maintaining statutory accounting records in compliance with the legislation of Nigeria and IFRS Accounting Standards;
- taking such steps as are reasonably available to them to safeguard the assets of the company; and preventing and detecting fraud and other irregularities.

Going Concern:

The directors have made an assessment of the company’s ability to continue as a going concern and have no reason to believe the company will not remain a going concern in the year ahead.

The financial statements of the company for the year ended April 30, 2026 were approved by the directors on July 23, 2026.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY:

Bamofin Olatokunbo Sanni
Chairman
FRC/2013/PRO/DIR/003/00000001153

Taiwo Alli
Managing Director/CEO
FRC/2022/PRO/NIM/002/00000024090

Olakunle Babatunde Adeoye
Chief Financial Officer
FRC/2022/PRO/ICAN/001/403601

Nigerian Enamelware PLC.
18, Wempco Road, Ogba Scheme, Ikeja, Lagos, Nigeria.

RC 2192

Statutory Audit Committee Report

To the Members of Nigerian Enamelware Plc

In accordance with the provisions of Section 404 (7) of the Companies and Allied Matters Act, 2020, we confirm that we have carried out our statutory functions under the Act and have examined the Independent Auditor's Report for the year ended April 30, 2026, and hereby state as follows:

1. The scope and planning of the audit are adequate.

2. The accounting and reporting policies of the company conform with the statutory requirements and agreed ethical practices.

3. The internal controls were being constantly and effectively monitored.

4. We have reviewed the Auditor's findings on management matters and are satisfied with the management responses thereon.

5. We have made recommendations to the Board with regard to the Auditors' report and remuneration of the external auditors of the Company.

We have obtained all the information and explanations we require.

In our opinion, the scope and planning of the audit for the year ended April 30, 2026 together with the audited financial statements were adequate. We also reviewed the auditors' findings and were satisfied with management responses thereto.

The Independent Auditors, Messrs. Sola Oyetayo & Co. have given an unqualified opinion in their report on the financial statements.

We acknowledge the cooperation of the Independent Auditors, Messrs. Sola Oyetayo & Co., Management and staff of the company in performing our duties.

On behalf of the Audit Committee

Mr. Thomas Oyebamiji Babalola
Chairman, Audit Committee
FRC/2026/PRO/ICAN/002/858836

Members of the Audit Committee

Mr. Thomas Oyebamiji Babalola - Chairman
Mr. Mr. Kevin Cao Liang - Member
Baale S.O. Ogunnowo - Member
Mr. Otukoya Oluwasesan - Member
Miss Moradeke Helen Adegboyega - Member

By Order of the Board

Oyetola Oluwafemi
Company Secretary
FRC/2022/PRO/NBA/004/00000024089

Ikeja, Lagos
Nigeria
July 23, 2026

Nigerian Enamelware PLC.

18, Wempco Road, Ogba Scheme, Ikeja, Lagos, Nigeria.

RC 2192

Management's Annual Assessment of and Report on Internal Control over Financial Reporting

In compliance with the provisions of section 7(1 and 2f) of the Financial Reporting Council of Nigeria Act 2011 (as amended, 2023), we hereby make the following statements regarding the Internal Controls over Financial Reporting of Nigerian Enamelware Plc for the year ended April 30, 2026:

(a) Management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") that provides reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards.

(b) Management used the Committee of Sponsoring Organization of the Treadway Commission (COSO) Internal Control Integrated Framework to conduct the required evaluation of the effectiveness of the company's ICFR.

We have reviewed the audited financial statements of the Company for the year ended April 30, 2026 and based on our knowledge we certify as follows:

(i) The audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading.

(ii) The audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition, results of operation and cash flows of the company as of and for the year ended April 30, 2026.

(iii) The Company's management has assessed that the entity's Internal Control over Financial Reporting (ICFR) as of the end of April 30, 2026 is effective.

(iv) The Company's internal controls were evaluated within 90 days of the financial reporting date and are effective as of April 30, 2026.

(v) The Company's external auditors (Sola Oyetayo & Co.) has issued an attestation report on management's assessment of internal control over financial reporting.

The attestation report of Messrs. Sola Oyetayo & Co. that audited the financial statements is included as part of this annual report.

Dated July 23, 2026.

Taiwo Alli
Managing Director/CEO
FRC/2022/PRO/NIM/002/00000024090

Olakunle Babatunde Adeoye
Chief Financial Officer
FRC/2022/PRO/ICAN/001/403601

Nigerian Enamelware PLC.

18, Wempco Road, Ogba Scheme, Ikeja, Lagos, Nigeria.

RC 2192

Certification of Management's Assessment on Internal Control over Financial Reporting

In compliance with the provisions of section 7(1 and 2f) of the Financial Reporting Council of Nigeria Act 2011 (as amended, 2023), we hereby make the following statements regarding the Internal Controls over Financial Reporting of Nigerian Enamelware Plc for the year ended April 30, 2026:

We, Taiwo Alli (the Managing Director/CEO) and Lawrence I. Iseh (the Finance Director) of Nigerian Enamelware Plc, certify that:

a. We have reviewed the management's report on the assessment of internal control over financial reporting of Nigerian Enamelware Plc.

b. Based on our knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c. Based on our knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report;

d. We:

1. Are responsible for establishing and maintaining internal controls;

2. Have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the company is made known to us by others, particularly during the period in which this report is being prepared;

3. Have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;

4. Have evaluated the effectiveness of the company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

e. We have disclosed, based on our most recent evaluation of the internal control system, to the company's auditors and the audit committee of the company's board of directors:

1. There were no significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the company's ability to record processes, summarize and report financial information; and

2. There was no fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control system.

f. We have identified, in the report, whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

Dated July 23, 2026.

Taiwo Alli **Managing Director/CEO** **FRC/2022/PRO/NIM/002/00000024090**	**Olakunle Babatunde Adeoye** **Chief Financial Officer** **FRC/2022/PRO/ICAN/001/403601**

33, Ogunlowo Street
Off Obafemi Awolowo Way, Ikeja
P. O. Box 70159 Victoria Island
Lagos.
T +234 903 338 3028
e info@solaoyetayo.com
https://solaoyetayo.com
RC: KN-003392

Independent Auditor's Attestation Report on Management's Assessment of Internal Control over Financial Reporting

To the Members of Nigerian Enamelware Plc

Scope

We have been engaged by Nigerian Enamelware Plc ('the Company') to perform a 'limited assurance engagement', based on International Standards on Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, herein referred to as the engagement, to report on Nigerian Enamelware Plc Internal Control over Financial Reporting (ICFR) (the "Subject Matter") contained in the Nigerian Enamelware Plc's (the "Company") and its Management's assessments on Internal Control over Financial Reporting as of April 30, 2026 (the "Report").

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

(1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;

(2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and

(3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements. Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Criteria applied by Nigerian Enamelware Plc

In designing, establishing and operating the Internal Control over Financial Reporting (ICFR) and preparing the Management's assessment of the Internal Control over Financial Reporting (ICFR), Nigerian Enamelware Plc applied the requirements of Internal Control-Integrated Framework (2013) of the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting (Criteria). Such Criteria were specifically designed to enable organizations effectively and efficiently develop systems of internal control that adapt to changing business and operating environments, mitigate risks to acceptable levels, and support sound decision making and governance of the organization; As a result, the subject matter information may not be suitable for another purpose.

Nigerian Enamelware Plc's responsibilities

Nigerian Enamelware Plc's management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Nigerian Enamelware Plc's management's assessment of the Internal Control over Financial reporting as of April 30, 2025 in accordance with the criteria.

Our responsibilities

Our responsibility is to draw a conclusion on the design and operating effectiveness of the Internal Control over Financial Reporting based on our Assurance engagement. We conducted our engagement in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, those standards require that we plan and perform our engagement to obtain limited assurance on the entity's internal control over financial reporting based on our assurance engagement.

SOLA OYETAYO & CO.

Independent Auditor's Attestation Report on Management's Assessment of Internal Control over Financial Reporting

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants (IESBA code) and have the required competencies and experience to conduct this assurance engagement.

We also apply International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement, and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

The procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk.

Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

Conclusion

In conclusion, nothing has come to our attention to indicate that the internal control over financial reporting put in place by management is not adequate as of April 30, 2026, based on the requirements of Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting.

Other matter

We also have audited, in accordance with the International Standards on Auditing, the financial statements of Nigerian Enamelware Plc for the year ended April 30, 2026, and we expressed an unmodified opinion in our Auditor's report dated July 27, 2026. Our conclusion is not modified in respect of this matter.

Sola Oyetayo, FCA
FRC/2013/PRO/ICAN/004/00000000642
For: Sola Oyetayo & Co.
(Chartered Accountants)

July 27, 2026

LAGOS, NIGERIA.

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
ICAN
0823746

SOLA OYETAYO & CO.

33, Ogunlowo Street
Off Obafemi Awolowo Way, Ikeja
P. O. Box 70159 Victoria Island
Lagos.
T +234 903 338 3028
e info@solaoyetayo.com
https://solaoyetayo.com
RC: KN-003392

Independent Auditor's Report

To the Members of NIGERIAN ENAMELWARE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of NIGERIAN ENAMELWARE PLC (the company) set out on pages 20 to 44, which comprise the statement of financial position as at April 30, 2026; and the statement of profit or loss and other comprehensive income; the statement of changes in equity; and the statement of cash flows for the year then ended; and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of NIGERIAN ENAMELWARE PLC as at April 30, 2026, and its financial performance and cash flows for the year then ended, in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the requirements of the Companies and Allied Matters Act 2020, and in compliance with the Financial Reporting Council of Nigeria Act, 2011 (as amended, 2023).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (Parts 1, 3 and 4A) (IESBA Code) and other independence requirements applicable to performing audits of financial statements in Nigeria. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits in Nigeria.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
1. Expected Credit Loss (ECL) on Receivables, Related Party Balances and Cash & Cash Equivalents	
The expected credit loss (ECL) on receivables (including related party balances) and cash and cash equivalents were identified as a Key Audit Matter due to the significance of these balances to the financial statements and the substantial judgment involved in estimating ECL under IFRS 9. The determination of ECL requires management to make significant assumptions relating to historical loss experience, probability of default, loss given default, exposure at default and forward-looking macroeconomic factors.	Our audit procedures included evaluating the appropriateness of management's ECL methodology and assessing its compliance with IFRS 9 requirements. We tested the completeness and accuracy of data used in the ECL calculations and evaluated the reasonableness of key assumptions, including historical loss rates, probability of default, loss given default, exposure at default and forward-looking economic adjustments.

Independent Auditor's Report

Key audit matter	How our audit addressed the key audit matter
Given the inherent estimation uncertainty associated with these assumptions, small changes in the underlying inputs could have a material impact on the resulting impairment allowances. Accordingly, the matter required significant auditor attention and judgment in evaluating the appropriateness of management's methodologies, assumptions and data used in measuring ECL.	We assessed management's basis for segmenting receivables and considered the recoverability of significant related party balances. In relation to cash and cash equivalents, we assessed the creditworthiness of financial institutions holding the deposits and evaluated the assumptions used in estimating any associated credit losses. We also recalculated the ECL provisions and assessed the adequacy of the related disclosures in the financial statements.
2. Inventory Valuation	
Inventory valuation was considered to be a Key Audit Matter due to the significance of inventory balances to the financial statements and the complexity of determining inventory costs under the weighted average absorption method. Significant judgment is required in allocating production overheads to inventory and in assessing whether inventory is stated at the lower of cost and net realisable value.	Our audit procedures included evaluating the appropriateness of the inventory costing methodology applied by management and assessing its consistency with the applicable financial reporting framework. We tested the costing of inventory, including the allocation of production overheads, and assessing whether the basis of allocation was reasonable and consistent with normal operating capacity.
The determination of net realisable value involves assumptions regarding future selling prices, demand patterns, inventory obsolescence and costs to complete or sell. Given the level of judgment and estimation uncertainty involved, together with the potential impact on inventory values, cost of sales and profit, the matter required significant auditor attention.	We evaluated management's net realisable value assessment by comparing inventory costs to recent selling prices, considering inventory ageing and historical sales trends, and reviewing post year-end sales transactions where relevant. We also performed sample recalculations of inventory costs and net realisable value adjustments and assessed the adequacy of the related disclosures in the financial statements.
3. Classification and Measurement of Gratuity Benefits	
The classification of gratuity benefits was considered to be a Key Audit Matter because determining whether the gratuity scheme qualifies as a short-term employee benefit under IAS 19 requires significant management judgment regarding the expected timing of settlement of the related obligations.	Our audit procedures included evaluating the terms and conditions of the Company's gratuity arrangements and assessing whether the classification of the gratuity obligations as short-term employee benefits was consistent with the requirements of IAS 19.
The classification directly affects the measurement of the liability and the associated employee benefit expense recognised in the financial statements. Given the judgment involved and the potential impact on the financial statements, this matter required significant auditor attention.	We reviewed management's assessment of the expected timing of settlement of the gratuity obligations and consideration whether the benefits were expected to be wholly settled within twelve months after the end of the reporting period. We tested the calculation of the gratuity obligation and assessed the appropriateness of the measurement basis applied by management. We also evaluated the adequacy of the related disclosures in the financial statements.

Independent Auditor's Report

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "NIGERIAN ENAMELWARE PLC annual financial statements for the year ended April 30, 2026", which includes the Report of the Directors, Corporate Governance Report, Statement of Corporate Responsibility for the Financial Statements, Statement of Directors' Responsibilities in relation to the preparation of the Financial Statements, and Other National Disclosures. The other information does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report on in this regard.

Responsibilities of the Directors for the Financial Statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the requirements of the Companies and Allied Matters Act 2020, and in compliance with the Financial Reporting Council of Nigeria Act, 2011 (as amended, 2023), and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

Report on Other Legal and Regulatory Requirements

In accordance with the requirements of the Fifth Schedule of the Companies and Allied Matters Act, 2020, we confirm that:

i) We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;

ii) In our opinion, proper books of account have been kept by the company, in so far as appears from our examination of those books;

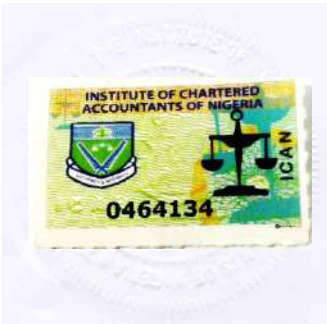
iii)The company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account.

In accordance with the requirements of the Financial Reporting Council of Nigeria (FRCN) Guidance on Assurance Engagement Report on Internal Control over Financial Reporting:

We performed a limited assurance engagement and reported on management's assessment of the company's internal control over financial reporting as of April 30, 2026. The work performed was done in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, and we have issued an unmodified opinion in our report dated July 27, 2026.

Sola Oyetayo, FCA
FRC/2013/PRO/ICAN/004/00000000642
For: Sola Oyetayo & Co.
(Chartered Accountants)
July 27, 2026

LAGOS, NIGERIA.



Statement of Profit or Loss and Other Comprehensive Income

	Note(s)	2026 ₦ '000	2025 ₦ '000
Revenue	2	1,301,835	1,431,093
Cost of sales	3	(1,222,829)	(1,376,960)
Gross profit		**79,006**	**54,133**
Other operating income	4	68,719	114,056
Movement in credit loss allowances	8	(38,261)	-
Operating expenses	5	(191,799)	(143,255)
(Loss) profit before taxation		**(82,335)**	**24,934**
Taxation	9	2,226	(9,458)
(Loss) profit for the year		**(80,109)**	**15,476**
Other comprehensive income		-	-
Total comprehensive (loss) income for the year		**(80,109)**	**15,476**

Earnings per share

Per share information			
Basic (loss) earnings per share (Kobo)	10	(105.00)	20.00
Diluted (loss) earnings per share (Kobo)	10	(105.00)	20.00

The accompanying notes on pages 24 to 44 form an integral part of these financial statements.

Statement of Financial Position as at April 30, 2026

	Note(s)	2026 ₦ '000	2025 ₦ '000
Assets			
Non-Current Assets			
Property, plant and equipment	11	255,066	284,411
Current Assets			
Inventories	12	689,838	283,204
Trade and other receivables	13	1,132,981	1,199,609
Prepayments	14	25,163	694,789
Cash and cash equivalents	15	785,368	238,041
		2,633,350	**2,415,643**
Total Assets		**2,888,416**	**2,700,054**
Equity and Liabilities			
Equity			
Share capital	19	38,016	38,016
Reserves	20	61,086	61,086
Accumulated loss		(907,983)	(827,874)
		(808,881)	**(728,772)**
Liabilities			
Non-Current Liabilities			
Deferred tax	16	71,317	80,052
Current Liabilities			
Trade and other payables	17	2,489,549	2,216,990
Current tax payable	18	1,136,431	1,131,784
		3,625,980	**3,348,774**
Total Liabilities		**3,697,297**	**3,428,826**
Total Equity and Liabilities		**2,888,416**	**2,700,054**

The financial statements and the accompanying notes were approved by the board on July 23, 2026, and were signed on its behalf by:

Bamofin Olatokunbo Sanni
Chairman
FRC/2013/PRO/DIR/003/00000001153

Taiwo Alli
Managing Director/CEO
FRC/2022/PRO/NIM/002/00000024090

Olakunle Babatunde Adeoye
Chief Financial Officer
FRC/2022/PRO/ICAN/001/403601

The accompanying notes on pages 24 to 44 form an integral part of these financial statements.

Statement of Changes in Equity

	Share capital ₦ '000	Other Reserves ₦ '000	Accumulated loss ₦ '000	Total equity ₦ '000
Balance at May 1, 2024	**38,016**	**61,086**	**(843,350)**	**(744,248)**
Profit for the year	-	-	15,476	15,476
Other comprehensive income	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**15,476**	**15,476**
Balance at May 1, 2025	**38,016**	**61,086**	**(827,874)**	**(728,772)**
Loss for the year	-	-	(80,109)	(80,109)
Other comprehensive income	-	-	-	-
Total comprehensive Loss for the year	**-**	**-**	**(80,109)**	**(80,109)**
Balance at April 30, 2026	**38,016**	**61,086**	**(907,983)**	**(808,881)**
Note(s)	19	20		

The accompanying notes on pages 24 to 44 form an integral part of these financial statements.

Statement of Cash Flows

	Note(s)	2026 ₦ '000	2025 ₦ '000
Cash flows from operating activities			
(Loss)/Profit before taxation		(82,335)	24,934
Adjustments for non-cash items:			
Depreciation		41,369	40,930
Movement in credit loss allowances		38,261	-
Adjust for items which are presented separately:			
Changes in working capital:			
(Increase) decrease in inventories		(406,634)	91,912
(Increase) decrease in trade and other receivables		112,034	54,449
(Increase) decrease in prepayments		669,626	(486,591)
Increase (decrease) in trade and other payables		188,892	95,541
Cash generated from operations		**561,213**	**(178,825)**
Tax paid	18	(1,862)	(2,613)
Net cash from operating activities		**559,351**	**(181,438)**
Cash flows from investing activities			
Purchase of property, plant and equipment	11	(12,024)	(9,718)
Cash flows from financing activities			
Total cash movement for the year		**547,327**	**(191,156)**
Cash and cash equivalents at the beginning of the year		238,041	429,197
Cash and cash equivalents at the end of the year	15	**785,368**	**238,041**

The accompanying notes on pages 24 to 44 form an integral part of these financial statements.

Notes to the Financial Statements

Corporate information

Nigerian Enamelware Plc was incorporated in Nigeria on 21st of May 1960 as a limited liability company.

It went public on 28 December 1979 in compliance with the Indigenisation Decree of 1977 and was granted a listing on the NGX Limited. It adopted its present name of Nigerian Enamelware Plc on 6 June 1991 in compliance with Companies and Allied Matters Acts 2020.

The holding Company is I. Feng Limited incorporated in Hong Kong and holds 60% of the Company's equity.

Nigerian Enamelware Plc is engaged in the manufacturing and marketing of enamelware, plastic products and galvanised bucket. Raw materials consisting of steel coils, enamel and moulds are obtained from local and overseas suppliers.

1. Material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. Management has considered the principles of materiality in IFRS Practice Statement 2 Making Materiality Judgements, and only those accounting policies which are considered material have been presented in these financial statements. These accounting policies are consistent with the previous period.

1.1 Basis of preparation

(a) Statement of compliance

The financial statements have been prepared in accordance with, and in compliance with, IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) and effective at the time of preparing these financial statements, the Companies and Allied Matters Act 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended, 2023).

(b) Basis of measurement

The financial statements have been prepared in accordance with the going concern assumption under the historical cost basis except for the following:
– Financial assets (trade and other receivables, cash and cash equivalents) measured at amortized cost
– Financial liabilities (trade and other payables) measured at amortized cost

(c) Functional and presentation currency

The financial statements are presented in Naira, which is the company's functional currency. All financial information presented in Naira has been rounded to the nearest thousands.

1.2 Significant judgements and sources of estimation uncertainty

The preparation of financial statements in conformity with IFRS requires management, from time to time, to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets, liabilities, income and expenses. These estimates and associated assumptions are based on experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Critical judgements in applying accounting policies

The critical judgements made by management in applying accounting policies, apart from those involving estimations, that have the most significant effect on the amounts recognised in the financial statements, are outlined as follows:

Revenue recognition

Revenue is generated from the sale of enamelware, plastic products and galvanised buckets. Revenue is accounted for in accordance with IFRS 15, Revenue from Contracts with Customers. Management exercises judgement in determining the timing of revenue recognition, specifically in assessing when control of the goods transfers to the customer. The Company has concluded that revenue from the sale of goods is recognised at a point in time, when control passes to the customer. In making this assessment, management considers the indicators in IFRS 15, including whether:

Notes to the Financial Statements

1.2 Significant judgements and sources of estimation uncertainty (continued)

- The Company has a present right to payment for the goods;
- Physical possession of the goods has been transferred to the customer;
- The customer has obtained significant risks and rewards of ownership; and
- The customer has accepted the goods in accordance with the contract.

Revenue is recognised when these indicators, taken together, demonstrate that control of the goods has been transferred to the customer.

Key sources of estimation uncertainty

Useful lives of property, plant and equipment

Management reviews the useful lives of property, plant and equipment at the end of each reporting period in accordance with IAS 16, Property, Plant and Equipment. The useful lives of furniture and fixtures, motor vehicles, and office equipment are determined with reference to the Company's asset replacement policies. Significant individual assets within these classes are assessed separately where replacement is expected to occur outside normal replacement parameters.

The useful lives of manufacturing equipment (plant and machinery) are reviewed annually, taking into account factors such as wear and tear, usage patterns, and technological obsolescence. Where management revises the estimated useful life of an asset, the change is accounted for prospectively as a change in accounting estimate and reflected in future depreciation charges.

Expected credit losses on receivables

The determination of expected credit losses requires management judgement in assessing the likelihood of recovery of outstanding receivables. Estimates are based on historical collection experience, ageing profiles, customer-specific circumstances and current economic conditions. Changes in these assumptions may result in material adjustments to impairment allowances in future periods.

1.3 Translation of foreign currencies

Foreign currency transactions

A foreign currency transaction is recorded, on initial recognition in Naira, by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

Monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing at each reporting date.

Any resulting exchange differences are included in administration expenses in the statement of profit or loss. Non- monetary items of historic cost, that are denominated in foreign currency, are translated at the date of original transaction, and are not re-translated.

Exchange differences arising on the settlement of monetary items are included in profit or loss for the year.

1.4 Revenue

The company is principally engaged in the manufacturing and sale of enamelware products and recognises revenue in accordance with IFRS 15, Revenue from Contracts with Customers.

Revenue is recognised when the Company satisfies a performance obligation by transferring control of the goods to the customer. A contract with a customer exists when it has been approved by both parties, the rights and payment terms can be identified, the contract has commercial substance, and collection of consideration is probable.

Revenue from the sale of goods is recognised at a point in time, as the performance obligation is satisfied upon transfer of control. In assessing when control transfers, the Company considers the indicators in IFRS 15, including whether:

- the Company has a present right to payment for the goods;
- physical possession of the goods has been transferred to the customer;
- the customer has the ability to direct the use of and obtain substantially all the remaining benefits from the goods; and
- the customer has accepted the goods in accordance with the contract.

Notes to the Financial Statements

1.4 Revenue (continued)

Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts, rebates, and other price concessions.

1.5 Cost of sales

When inventories are sold, the carrying amount of those inventories is recognised as an expense in the period in which the related revenue is recognised. The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, is recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

1.6 Tax

Current tax

Current tax expense represents the amount of income taxes payable or recoverable in respect of the taxable profit or loss for the reporting period, determined in accordance with applicable tax laws and regulations. Current tax is measured using tax rates and laws that have been enacted or substantively enacted at the reporting date.

A current tax liability is recognised for income taxes payable for the current and prior periods to the extent that it remains unpaid. Where amounts paid exceed the tax payable for the period, the excess is recognised as a current tax asset. Current tax expense is recognised in profit or loss for the period.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the balance sheet liability method.

Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognized if the temporary difference arises from the initial recognition of goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realised based on tax laws and rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset.

Tax expenses

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

Notes to the Financial Statements

1.7 Property, plant and equipment

Items of property, plant and equipment are stated at cost or deemed cost less accumulated depreciation and any impairment losses. The cost of self-constructed assets includes the costs of materials and direct labour. Cost includes professional fees and, for qualifying assets, borrowing costs capitalised in accordance with the Company's accounting policy. Such properties are classified to the appropriate categories of property, plant and equipment when completed and ready for intended use. Depreciation of these assets, on the same basis as other property assets, commences when the assets are ready for their intended use.

Freehold land is not depreciated when it exists. Depreciation is recognised so as to write off the cost or valuation of assets (other than freehold land and properties under construction) less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Expenditure incurred subsequently for major services, additions to or replacements of parts of property, plant and equipment are capitalised if it is probable that future economic benefits associated with the expenditure will flow to the company and the cost can be measured reliably. Day to day service costs are included in profit or loss in the year in which they are incurred.

Property, plant and equipment is subsequently stated at cost less accumulated depreciation and impairment losses.

The estimated useful lives of items of property, plant and equipment have been assessed as follows:

Item	Depreciation method	Average useful life
Plant and machinery	Straight line	20 years
Furniture and equipment	Straight line	10 years
Motor vehicles	Straight line	3 years
Office equipment	Straight line	10 years

The residual value, useful life and depreciation method of each asset are reviewed at the end of each reporting . No material changes were made.

There were no indicators of impairment for property, plant and equipment and no impairment tests were performed.

1.8 Inventories

Inventories comprise goods held in the ordinary course of business; materials held in the process of production for such sale and in the form of materials or supplies to be consumed in the production process or in the rendering of services. These are valued at the lower of cost and net realisable value. Costs include purchase cost, conversion cost (materials, labour and overheads) and other costs incurred in bringing the inventories to their present location and condition.

Inventories are valued using the weighted average method. Allowance is made for obsolete, slow moving or defective items where appropriate.This loss on inventory is recognised as an expense in the period the loss occurs.

1.9 Share capital and equity

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all its liabilities. Ordinary shares are recognised at par value and classified as 'share capital' in equity. Any amounts received from the issue of shares in excess of par value is classified as 'share premium' in equity. Equity instruments issued by the company are recognised at the proceeds received, net of direct issue costs, net of any tax effects.

Notes to the Financial Statements

1.10 Financial instruments

Recognition and initial measurement

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value.

Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition.

Trade receivables which do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price determined under IFRS 15.

Trade receivables

Trade receivables are recognised at the transaction price and subsequently measured less expected credit loss allowances. Due to their short-term nature, the carrying amounts of trade receivables approximate fair value.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, bank balances, and short-term deposits with original maturities of three months or less that are readily convertible into known amounts of cash and are subject to insignificant risk of changes in value. Cash and cash equivalents are measured at carrying amount, which approximates fair value.

Impairment of financial assets

(a) Trade and other receivables

The Company applies the simplified approach under IFRS 9 in measuring expected credit losses on trade receivables. Loss rates are based on historical collection experience and are adjusted for customer-specific factors where recoverability concerns are identified. Trade receivables are regularly reviewed for indications of impairment and specific provisions are recognised where collection is no longer considered probable.

(b) Cash and cash equivalents

The Company assesses ECL on cash and cash equivalents using 12-month probability of default rates based on external credit ratings of the counterparty banks.

Trade payables

Trade payables, represent obligations for goods and services provided to the Company in the ordinary course of business. Trade payables are recognised at the transaction price and subsequently carried at the amount payable. Due to the short-term nature of these balances, their carrying amounts approximate fair value.

Derecognition

Financial assets are derecognised when the contractual rights to receive the related cash flows expire or are transferred and the Company has transferred substantially all the risks and rewards of ownership. Any gain or loss arising on derecognition is recognised in profit or loss.

Financial liabilities are derecognised when the contractual obligations are discharged, cancelled or expire. Any difference between the carrying amount of the liability derecognised and the consideration paid is recognised in profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

Notes to the Financial Statements

1.11 Employee benefits

Gratuity benefits

The Company provides gratuity benefits to eligible employees. As the benefits are expected to be settled within twelve months after the reporting period in which the related services are rendered, they are accounted for as short-term employee benefits. The related expense is recognised in profit or loss as employees render the associated services, with outstanding obligations recognised as liabilities at the reporting date.

Defined contribution plans

The company operates a defined contribution pension scheme in compliance with the Pension Reform Act 2014. Contributions are based on 10% (employer) and 8% (employee) of basic salary, housing, and transport allowances. Contributions are recognised as employee benefit expenses in profit or loss in the period to which they relate. The Company has no further obligations once the contributions have been remitted to the relevant pension fund administrators.

Short term employee benefits

Short-term employee benefits are recognised as expenses in profit or loss in the period in which the related services are rendered. Amounts outstanding at the reporting date are recognised as liabilities.

1.12 Earnings per share (EPS)

Earnings per share are based on the profit after taxation and weighted average number of ordinary shares outstanding at the end of each financial year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders with dilutive potential ordinary shares such as share options, warrants, or convertible instruments as at the reporting date and dividing the outcome by the weighted average number of ordinary shares outstanding.

1.13 Dividends

Dividends are recognised as a liability when approved and no longer subject to the Company's discretion. Dividends declared after the reporting date are disclosed in the notes to the financial statements where material.

1.14 New and amended IFRS Accounting Standards that are effective for the current year

(a) Amendments to IFRS 9 ‘Financial Instruments’ and IFRS 7 ‘Financial Instruments: Disclosures’

In May 2024, the IASB issued amendments to IFRS 9 ‘Financial Instruments’ and IFRS 7 ‘Financial Instruments: Disclosures’. In addition to guidance as to when certain financial liabilities can be deemed settled when using an electronic payment system, the amendments also provide further clarification regarding the classification of financial assets that contain contractual terms that change the timing or amount of contractual cash flows, including those arising from ESG-related contingencies, and financial assets with certain non-recourse features.

The amendments became effective for annual reporting periods beginning on or after 1 January 2026. The amendments has no impact on the company's financial statements.

Notes to the Financial Statements

1.15 IFRS Accounting Standards issued but not yet effective

The following standards have been issued but not yet effective as of April 30, 2026. The company has not early adopted these standards in preparing the financial statements as it plans to adopt it at the effective date, if applicable.

(a) IFRS 18 - Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18 ‘Presentation and Disclosure in Financial Statements’, effective for annual reporting periods beginning on or after 1 January 2027. The new accounting standard aims to give users of financial statements more transparent and comparable information about an entity’s financial performance. It will replace IAS 1 ‘Presentation of Financial Statements’ but carries over many requirements from that IFRS Accounting Standard unchanged. In addition, there are three sets of new requirements relating to the structure of the income statement, management-defined performance measures and the aggregation and disaggregation of financial information.

While IFRS 18 will not change recognition criteria or measurement bases, it might have a significant impact on presenting information in the financial statements, in particular the income statement. The Company is currently assessing the impact of the standard on the presentation and disclosure of its financial statements. At the reporting date, the assessment had not been finalised.

(b) Amendments to IFRS 9 ‘Financial Instruments’ and IFRS 7 ‘Financial Instruments: Disclosures’

In May 2024, the IASB issued amendments to IFRS 9 ‘Financial Instruments’ and IFRS 7 ‘Financial Instruments: Disclosures’, effective for annual reporting periods beginning on, or after, 1 January 2026. In addition to guidance as to when certain financial liabilities can be deemed settled when using an electronic payment system, the amendments also provide further clarification regarding the classification of financial assets that contain contractual terms that change the timing or amount of contractual cash flows, including those arising from ESG-related contingencies, and financial assets with certain non-recourse features. The Company is currently assessing the potential impact of the amendments on its financial statements.

The Directors do not expect any other standards or amendments issued but not yet effective to have a material impact on the Company's financial statements.

Notes to the Financial Statements

2. Revenue

	2026 ₦ '000	2025 ₦ '000
Sale of products	1,301,835	1,431,093

The company operates in one geographical area - Nigeria. The above revenue from goods sold is derived within Nigeria and arrived at after deducting trade discounts.

3. Cost of sales

	2026 ₦ '000	2025 ₦ '000
Raw materials consumed	803,547	872,534
Direct employee costs (Note 6)	131,277	111,938
Depreciation	41,305	40,930
Manufacturing expenses	246,700	351,558
	1,222,829	**1,376,960**

4. Other income

	2026 ₦ '000	2025 ₦ '000
Scrap sales	68,719	114,056

Scrap sales represents amounts realised on the disposal of unuseable leftovers and wastes from coils issued to production.

5. Operating expenses

		2026 ₦ '000	2025 ₦ '000
Audit fee (Note 5a)	8	8,600	8,600
Bank charges		92	112
Cleaning		-	165
Legal and professional fees		30,445	7,320
Depreciation		64	-
Indirect employee costs (Note 5b)		71,284	53,090
AGM expenses		11,939	6,471
Registrar's fees and expenses		2,044	1,430
Directors' fees and other emoluments (Note 7)		29,014	22,100
Rent		23,005	23,000
Medical expenses		1,857	1,408
Motor running expenses		3,055	1,637
Postage and telephone expenses		542	469
Stationery and office supplies		1,239	603
Repairs and maintenance		600	120
Secretarial fees		2,400	2,000
Dues & Subscriptions		1,687	7,835
Staff training		220	5,000
Transport & travelling expenses		3,712	1,895
		191,799	**143,255**

5a. The audit fee relates to audit services carried out by the auditor during the year. Also the external auditors; Sola Oyetayo & Co. (FRC/2024/COY/228803) rendered services on Internal Control over Financial Reporting (ICFR) audit which is considered a non-audit service. The auditor's attestation report on management's assessment of internal control over financial reporting was signed by the partner; Sola Oyetayo (FRC/2013/PRO/ICAN/004/00000000642). A sum of N1.5 million (2025: N2.5 million) was accrued for in professional fees for the service.

5b. Indirect employee costs

	2026 ₦ '000	2025 ₦ '000
Salaries - Local	22,501	12,732
Expatriate salaries	38,577	31,142
Pension - employer's contribution	4,906	3,731
Provision for staff gratuity	5,300	5,485
	71,284	**53,090**

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000
6. Employee costs		
Direct employee costs		
Direct wages	131,277	111,938
Indirect employee costs		
Salaries and staff welfare	61,078	43,873
Retirement benefits expenses	10,206	9,217
	71,284	**53,090**
Total employee costs		
Direct employee costs	131,277	111,938
Indirect employee costs	71,284	53,090
	202,561	**165,028**
Average number of persons employed during the year		
Management staff	4	2
Senior staff	4	3
Junior staff	102	75
	110	**80**

The table shows the number of employees (excluding directors) whose earnings during the year fell within the ranges shown below:

	2026	2025
₦260,001 and above	110	80

	2026 ₦ '000	2025 ₦ '000
7. Directors' and managers' emoluments		
Fees:		
Chairman	4,800	2,500
Other Directors	2,400	1,800
	7,200	4,300
Other emoluments	21,814	17,800
	29,014	**22,100**
Managers` remuneration		
Section 238 of CAMA 2020	3,600	4,840

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000

8. Operating profit (loss)

Operating (loss) profit for the year is stated after charging (crediting) the following, amongst others:

	2026 ₦ '000	2025 ₦ '000
Auditor's remuneration - external		
Audit fees	8,600	8,600
Remuneration, other than to employees		
Consulting and professional services	30,445	7,320
Secretarial services	2,400	2,000
	32,845	**9,320**
Employee costs		
Salaries, wages and staff welfare	192,355	155,811
Retirement benefits expenses	10,206	9,217
Total employee costs	**202,561**	**165,028**
Less: Employee costs included in cost of goods sold and inventories	(131,277)	(111,938)
Total employee costs expensed	**71,284**	**53,090**
Rent		
Rent expenses	23,005	23,000
Depreciation		
Depreciation of property, plant and equipment	41,369	40,930
Total depreciation	**41,369**	**40,930**
Less: Depreciation included in cost of goods sold and inventories	(41,305)	(40,930)
Total depreciation expensed	**64**	**-**
Movement in credit loss allowances		
Trade and related parties receivables (Note 13b)	32,223	-
Staff debtors	16	-
Other receivables (Note 13e)	621	-
Cash and cash equivalents (Note 15)	5,401	-
	38,261	**-**

9. Taxation

Major components of the tax expense (income)

	2026 ₦ '000	2025 ₦ '000
Current		
Company income tax	6,509	17,581
Deferred		
Deferred tax expense/(written back)	(8,735)	(8,123)
	(2,226)	**9,458**

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000

9. Taxation (continued)

Reconciliation of the tax expense

Reconciliation between accounting profit and tax expense.

	2026 ₦ '000	2025 ₦ '000
Accounting profit/(loss)	(82,335)	24,934
Tax at the applicable tax rate of 30% (2025: 30%)	(24,701)	7,480
Tax effect of adjustments on taxable income		
Education tax at 3% of assessable profit	-	1,976
Temporary differences now recognised as deferred tax assets	(8,735)	(8,123)
Police Trust Fund	-	1
Effect of unused tax losses and tax offsets not recognised as deferred tax expense	24,701	8,124
Minimum tax	6,509	-
	(2,226)	**9,458**
Effective tax rate (%)	2.7	37.9

10. Earnings per share

Eearnings per share are calculated by dividing the profit after tax for the year attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares outstanding at year-end. The following reflects the profit and share data used in the basic and diluted earnings per share computations:

	2026	2025
(Loss)/Profit after tax attributable to ordinary equity holders of the company (N'000)	(80,109)	15,476
Weighted average number of ordinary shares ('000)	76,032	76,032
Basic/diluted (loss) earnings per share (Kobo)	(105)	20

Basic and diluted earnings per share are the same as the Company has no outstanding dilutive potential ordinary shares. Accordingly, the weighted average number of ordinary shares used in the computation of diluted earnings per share is the same as that used for basic earnings per share.

There were no transactions involving ordinary shares or potential ordinary shares between the reporting date and the date these financial statements were authorised for issue.

11. Property, plant and equipment

	2026			2025		
	Cost ₦ '000	Accumulated depreciation ₦ '000	Carrying value ₦ '000	Cost ₦ '000	Accumulated depreciation ₦ '000	Carrying value ₦ '000
Plant and machinery	826,102	(585,214)	240,888	826,102	(543,909)	282,193
Furniture and equipment	667	(667)	-	667	(667)	-
Motor vehicles	1,169	(1,169)	-	1,169	(1,169)	-
Office equipment	1,381	(64)	1,317	-	-	-
Capital - Work in progress (Note 10a)	12,861	-	12,861	2,218	-	2,218
Total	**842,180**	**(587,114)**	**255,066**	**830,156**	**(545,745)**	**284,411**

11. Property, plant and equipment (continued)

Reconciliation of property, plant and equipment - Company

	Plant and machinery ₦ '000	Furniture and fixtures ₦ '000	Motor vehicles ₦ '000	Office equipment ₦ '000	Capital - Work in progress ₦ '000	Total ₦ '000
Cost						
At May 1, 2024	818,602	667	1,169	-	-	820,438
Additions	7,500	-	-	-	2,218	9,718
At April 30, 2025	**826,102**	**667**	**1,169**	**-**	**2,218**	**830,156**
Additions	-	-	-	1,381	10,643	12,024
At April 30, 2026	**826,102**	**667**	**1,169**	**1,381**	**12,861**	**842,180**
Depreciation						
At May 1, 2024	(502,979)	(667)	(1,169)	-	-	(504,815)
Depreciation	(40,930)	-	-	-	-	(40,930)
At April 30, 2025	**(543,909)**	**(667)**	**(1,169)**	**-**	**-**	**(545,745)**
Depreciation	(41,305)	-	-	(64)	-	(41,369)
At April 30, 2026	**(585,214)**	**(667)**	**(1,169)**	**(64)**	**-**	**(587,114)**
Carrying amount						
Cost	826,102	667	1,169	-	2,218	830,156
Accumulated depreciation	(543,909)	(667)	(1,169)	-	-	(545,745)
At April 30, 2025	**282,193**	**-**	**-**	**-**	**2,218**	**284,411**
Cost	826,102	667	1,169	1,381	12,861	842,180
Accumulated depreciation	(585,214)	(667)	(1,169)	(64)	-	(587,114)
At April 30, 2026	**240,888**	**-**	**-**	**1,317**	**12,861**	**255,066**

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000

11. Property, plant and equipment (continued)

10a. Capital - Work in progress

Capital - Work in progress represents amounts recognised in respect of an ongoing construction of new oven in the company's factory.

10b. Impairment losses recognised in the year

There was no impairment losses recognized during the year (2025: Nil).

10c. Contractual commitments

As of the year end the Company has no contractual commitments for the acquisition of property, plant and equipment (2025: Nil).

12. Inventories

	2026 ₦ '000	2025 ₦ '000
Raw materials	573,544	254,871
Work in progress	60,884	21,999
Finished goods	70,119	21,043
	704,547	297,913
Allowance for obsolete inventories	(14,709)	(14,709)
	689,838	**283,204**

11a. Inventory pledged as security

No inventory was pledged as security for liabilities during the year (2025: Nil).

13. Trade and other receivables

	2026 ₦ '000	2025 ₦ '000
Financial instruments:		
Trade receivables - third parties	11,636	12,817
Receivables - related parties (Note 13a)	3,758,173	3,792,134
Loss allowance (Note 13b)	(2,700,267)	(2,668,044)
Receivables at amortised cost	1,069,542	1,136,907
Staff debtors	1,939	580
Other receivables (Note 13e)	61,500	62,122
Total trade and other receivables	**1,132,981**	**1,199,609**

13a. Analysis of Receivables - related parties

	2026 ₦ '000	2025 ₦ '000
WEMPCO Group	1,097,027	1,130,988
Other former related companies (Note 12ai)	2,661,146	2,661,146
	3,758,173	**3,792,134**

13ai. Other former related companies are companies formerly classified as related companies by the Group but have been otherwise reclassified in the reorganisation of the WEMPCO group in 2023 financial year. These former related companies have been dormant in the past years and full impairment losses on their receivable balances above totaling N2,661,146,304 were provided for as bad debts in the financial year ended April 30, 2024.

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000

13. Trade and other receivables (continued)

13b. Movement in loss allowance

	2026 ₦ '000	2025 ₦ '000
At beginning of year	2,668,044	2,668,044
Additional provision	32,223	-
At end of year	**2,700,267**	**2,668,044**

Analysis of loss allowance

	2026 ₦ '000	2025 ₦ '000
Trade receivables from third parties	1,015	6,898
Receivables from related parties	2,699,252	2,661,146
	2,700,267	**2,668,044**

13c. Analysis of Receivables from related parties into trade and non-trade

	2026 ₦ '000	2025 ₦ '000
Trade	131,483	131,483
Non-trade	3,626,690	3,660,651
	3,758,173	**3,792,134**

13d. The directors consider that the carrying amount of trade and other receivables is approximately equal to their fair value.

13e. Other receivables represent amounts spent in the financial year ended April 30, 2025 on relocation of plants and machinery from Ikeja factory to a new location belonging to WEMPCO group on the directive of the landlord. The directors consider that the relocation expenses are recoverable from WEMPCO. However, based on the directors' assessment, an ECL of N621,216 has been recognised on the receivables for the year ended April 30, 2026 (2025: Nil).

14. Prepayments

	2026 ₦ '000	2025 ₦ '000
Materials purchased	-	648,093
Rent	23,000	46,000
Dues and subscriptions	2,163	696
	25,163	**694,789**

15. Cash and cash equivalents

Cash and cash equivalents consist of:

	2026 ₦ '000	2025 ₦ '000
Cash and bank balances	790,769	238,041
Credit loss allowance	(5,401)	-
	785,368	**238,041**

For the purpose of the statement of cash flows, cash and cash equivalents comprise cash and bank balances of N790.769 million (2025: N238.041 million), which is consistent with the balance reported in the statement of financial position. There are no bank overdrafts or restricted cash balances included in, or excluded from, this amount.

The Company assessed ECL on cash and cash equivalents (excluding cash on hand) using 12-month PD rates based on external credit ratings of the counterparty banks. The resulting ECL allowance of N5,400,840 was recognised for the year ended April 30, 2026 (2025: Nil).

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000

16. Deferred tax

Deferred tax liability

	2026 ₦ '000	2025 ₦ '000
Property plant and equipment	(71,317)	(80,052)
Deferred tax liability	(71,317)	(80,052)

Deferred tax assets and liabilities are offset where the company has a legally enforceable right to do so. The following is the reconciliation of the deferred tax assets (liabilities) after offset presented in the statement of financial position:

Reconciliation of deferred tax asset / (liability)

	2026 ₦ '000	2025 ₦ '000
At beginning of year	(80,052)	(88,176)
Write back/(charged) to profit or loss	8,735	8,124
At end of year	**(71,317)**	**(80,052)**

17. Trade and other payables

	2026 ₦ '000	2025 ₦ '000
Trade payables - third parties	134,454	96,184
Payables - related parties	1,974,362	1,746,497
Withholding tax payable	2,760	4,203
Accrued wages and salaries	26,638	23,485
Provision for gratuities (Note 17b)	12,529	18,321
Accrued co-operative contribution	3,786	3,756
Accrued pension deductions - employee	73,966	73,911
Accrued pension deductions - employer	4,415	4,347
Accrued audit fees	8,200	8,200
Accrued PAYE deductions	4,691	2,976
Other accrued expenses	3,785	2,521
VAT payable	239,963	232,589
	2,489,549	**2,216,990**

17a. The directors consider that the carrying amount of trade and other payables are approximate to their fair value.

17b. Management has assessed the expected timing of settlement of gratuity obligations and concluded that the benefits are expected to be settled wholly within twelve months after the reporting date. Accordingly, the gratuity obligation has been classified as a short-term employee benefit in accordance with IAS 19. Management reviews this assessment at each reporting date and will reclassify the obligation where future settlement expectations change.

17c. Analysis of payables to related parties

	2026 ₦ '000	2025 ₦ '000
Trade	235,419	222,052
Non-trade	1,738,943	1,524,445
	1,974,362	**1,746,497**

17d. Financial instrument and non-financial instrument components of trade and other payables

	2026 ₦ '000	2025 ₦ '000
Financial instruments at amortised cost	2,120,801	1,853,402
Non-financial instruments	368,748	363,588
	2,489,549	**2,216,990**

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000
18. Current tax payable		
Company income tax	(888,074)	(883,427)
Capital gains tax	(248,357)	(248,357)
	(1,136,431)	**(1,131,784)**
Net current tax payable		
Current liabilities	(1,136,431)	(1,131,784)
Company income tax		
At beginning of year	(883,427)	(868,459)
Charge for the year	(6,509)	(17,581)
Subtotal	(889,936)	(886,040)
Payments during the year	1,862	2,613
At end of year	**(888,074)**	**(883,427)**

19. Share capital

	2026 ₦ '000	2025 ₦ '000
Issued and fully paid		
76,032,000 ordinary shares of 50k each	38,016	38,016

The holders of ordinary shares are entitled to dividends as declared from time to time and are entitled to one vote per share at the general meetings of the Company.

Share repurchases

20. Other Reserves

Unclaimed Dividends Refunded by Registrars

	2026 ₦ '000	2025 ₦ '000
At beginning of year	61,086	61,086

Other reserves represent 90% of total unclaimed dividends over 12 years old refunded by the Registrars prior to the Finance Act 2020 as well as write back of I.Feng (the parent company) returns on investment in interest yielding securities.

Notes to the Financial Statements

	2026 ₦ '000	2025 ₦ '000

21. Related parties

Relationships

I. Feng Company Limited	Parent Company with ownership of 60% of share capital
Lagos Oriental Hotel Ltd - Fellow Subsidiary of Parent Company	Expenses
Omo Wood Products Co. Ltd - Fellow Subsidiary of Parent Company	Supply
Procelainware Industries Ltd - Fellow Subsidiary of Parent Company	Expenses
Wempco Steel Mills Co. Ltd - Fellow Subsidiary of Parent Company	Expenses

Related party balances

	2026 ₦ '000	2025 ₦ '000
Amounts included in Receivables (Payables) regarding related parties - WEMPCO Group		
Western Metal Products Company Limited	851,358	851,358
Procelainware Industries Ltd	26,881	23,007
Omo Wood Products Co. Ltd	136,190	136,190
Lagos Oriental Hotel	12,120	12,192
WEMPCO Steel Mills Co. Limited	70,478	108,241
Western Metal Products Company Limited	(574,747)	(360,248)
Procelainware Industries Ltd	(1,169,533)	(1,169,533)
WEMPCO Steel Mills Co. Limited	(219,972)	(206,605)
Advance Steel Structure	(9,546)	(9,546)
Omo Wood Products Co. Ltd	(565)	(565)
Amounts included in Receivables (Payables) regarding related parties - Other former related companies		
Universal Nigeria Industries Co. Ltd - Advance	713,489	713,489
Universal Nigeria Industries Co. Ltd - Current A/C	1,446,105	1,446,105
Ken Feraro Limited	27,123	27,123
United Rolling Mills Limited	190,565	190,565
WEMPCO Steel Mills Co. Limited	71,951	71,951
Wiseway Agro Products Co. Ltd	95,649	95,649
Prime Nigeria Tiles Co Ltd	88,570	88,570
NFE Industrial Company Limited	425	425
MSD	26,800	26,800
Others	469	469

Other former related companies are companies formerly classified as related companies by the Group but has been otherwise reclassified in the reorganisation of the Wempco group in 2023 financial year. These former related companies have been dormant in the past years and full impairment losses on their receivable balances above totalling N2,661,146,304 were provided for as bad debts in the financial year ended April 30, 2024 (Note 13ai).

	2026 ₦ '000	2025 ₦ '000
Compensation to directors and other key management		
Directors' fees and other emoluments	29,014	22,100
Other key management remuneration	3,600	4,840
	32,614	**26,940**

Notes to the Financial Statements

22. Financial instruments and risk management

Categories of financial instruments

Categories of financial assets

2026

	Note(s)	Amortised cost ₦ '000	Total ₦ '000	Fair value ₦ '000
Trade and other receivables	13	1,132,981	1,132,981	-
Cash and cash equivalents	15	790,769	790,769	-
		1,923,750	**1,923,750**	**-**

2025

	Note(s)	Amortised cost ₦ '000	Total ₦ '000	Fair value ₦ '000
Trade and other receivables	13	1,199,609	1,199,609	-
Cash and cash equivalents	15	238,041	238,041	-
		1,437,650	**1,437,650**	**-**

Categories of financial liabilities

2026

	Note(s)	Amortised cost ₦ '000	Total ₦ '000	Fair value ₦ '000
Trade and other payables	17	2,249,587	2,249,587	-

2025

	Note(s)	Amortised cost ₦ '000	Total ₦ '000	Fair value ₦ '000
Trade and other payables	17	1,984,400	1,984,400	-

Capital risk management

The Company manages its capital to ensure that the Company will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of equity. The Company's overall strategy remains unchanged.

The capital structure of the Company consists of net debt(borrowings offset by cash and bank balances) and equity attributable to equity holders of the Company, comprising issued capital, reserves and retained earnings.

The Company is not subject to any externally imposed capital requirements, The Company does not have long term debts in its books. The capital structure and gearing ratio of the company at the reporting date was as follows:

Trade and other payables	17	2,489,550	2,216,989
Cash and cash equivalents	15	(785,368)	(238,041)
Net borrowings		**1,704,182**	**1,978,948**
Equity		(808,881)	(728,772)
Gearing ratio		(211)%	(272)%

Notes to the Financial Statements

22. Financial instruments and risk management (continued)

Financial risk management

Overview

The company is exposed to the following risks from its use of financial instruments:
- Credit risk;
- Liquidity risk; and
- Market risk (foreign currency risk and interest rate risk).

The Company's senior management oversees the management of risks to ensure that financial risks are identified, measured and managed in accordance with Company's policies for risk.

Risk management policies and systems are reviewed regularly to reflect the changes in market conditions and the Company's activities.

The Board of Directors reviews and agrees policies for managing each of these risks which are summarised below.

Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. The Company's maximum exposure to credit risk is represented by the carrying amount of its financial assets. Credit evaluations are performed on all customers requiring credit although majority of the sales contracts are on cash basis.

The Company's credit risk is significantly concentrated in receivables due from former related parties of N2.661 billion, which have remained outstanding for several years. Accordingly, the recoverability of these balances is a key area of management judgment in applying the expected credit loss requirements of IFRS 9.

Management performs periodic assessments of the recoverability of the balances, considering the counterparties' current financial circumstances, anticipated future cash flows, settlement discussions, historical collection experience and other relevant forward-looking information.

The Company monitors these balances separately from other receivables due to their size, ageing profile and associated credit risk characteristics. Any changes in the expected recoverability of these balances could have a material impact on the impairment allowance recognised in the financial statements.

The carrying amount of financial assets represents the company's maximum exposure, which at the reporting date, was as follows:

		2026			2025		
		Gross carrying amount ₦ '000	Credit loss allowance ₦ '000	Amortised cost ₦ '000	Gross carrying amount ₦ '000	Credit loss allowance ₦ '000	Amortised cost ₦ '000
Trade and other receivables	13	3,833,248	(2,700,267)	1,132,981	3,867,653	(2,668,044)	1,199,609
Cash and cash equivalents	15	790,769	(5,401)	785,368	238,041	-	238,041
		4,624,017	**(2,705,668)**	**1,918,349**	**4,105,694**	**(2,668,044)**	**1,437,650**

The carrying amount of financial assets recorded in the financial statements, which is net of impairment losses, represents the company's maximum exposure to credit risk as no collateral or other credit enhancements are held.

Liquidity risk

Liquidity risk is the risk that the Company may be unable to meet its financial obligations as they fall due.

The Company manages liquidity risk through ongoing monitoring of cash flows and working capital requirements. The Company's liquidity position is supported by supplier credit arrangements, particularly with related parties, which provide flexibility in the timing of settlement of trade obligations where necessary.

Notes to the Financial Statements

22. Financial instruments and risk management (continued)

At the reporting date, management believes that available cash resources and existing supplier credit arrangements are sufficient to meet the Company's obligations as they fall due. The following tables show the company's contractual maturities of financial liabilities:

2026

		Less than 1 year ₦ '000	Total ₦ '000	Carrying amount ₦ '000
Current liabilities				
Trade and other payables		2,249,587	2,249,587	2,249,587

2025

		Less than 1 year ₦ '000	Total ₦ '000	Carrying amount ₦ '000
Current liabilities				
Trade and other payables	17	1,984,400	1,984,400	1,984,400

Foreign currency risk

The company is exposed to foreign currency risk which arises from purchases of imported materials denominated in United States Dollars (USD). The company's practice is to negotiate import transactions in Naira at predetermined exchange rates and settle invoice obligations through advance payments in Naira. This approach significantly reduces the Company's exposure to exchange rate volatility on import transactions.

However, the company eliminates the exchange rate exposures by negotiating the payment for the importations in Naira at agreed predetermined exchange rates. Advance payments are also made in Naira for the entire importation invoice values.

There have been no significant changes in the foreign currency risk management policies and processes since the prior reporting period.

Interest rate risk

The Company had no material exposure to interest rate risk at the reporting date as it did not maintain significant interest-bearing investments or borrowings whose values or cash flows are affected by changes in market interest rates.

23. Capital commitments

There were no capital commitments as at April 30, 2026 (2025: Nil).

24. Contingencies

There were no contingent liabilities and contingent assets as at April 30, 2026 (2025: Nil).

Notes to the Financial Statements

25. Going concern

The financial statements have been prepared on a going concern basis, which assumes that the Company will continue in operational existence for the foreseeable future and will be able to realise its assets and discharge its liabilities in the normal course of business.

As at 30 April 2026, the Company had accumulated losses of ₦ 908 million (2025: N828 million) and net liabilities of ₦ 809 million (2025: N729 million negative). The Company also recorded a loss after tax of N80.1 million for the year ended 30 April 2026 (2025: profit after tax of N15.5 million). The accumulated losses and negative equity position were significantly impacted by the impairment provision of N2.661 billion recognised in 2024 (Note 13ai) in respect of receivables due from former related parties. This impairment represented a non-recurring adjustment to the carrying amount of those balances and continues to affect the Company's accumulated reserves position at the reporting date.

In assessing the appropriateness of the going concern basis of accounting, the Directors considered management's cash flow forecasts, projected operating results, available cash resources, expected cash inflows from operations, improved product demand, ongoing improvements in materials sourcing and other actions designed to strengthen the Company's financial performance and liquidity position. Based on this assessment, the Directors have a reasonable expectation that the Company has adequate resources to continue in operational existence and to meet its obligations as they fall due for at least twelve months from the date of approval of these financial statements. Accordingly, the Directors consider the going concern basis of accounting to be appropriate in the preparation of the financial statements.

26. Events after the reporting period

In June 2026, the operations of WEMPCO, a fellow subsidiary within the Group, were temporarily disrupted following actions taken by certain lenders in connection with breaches of loan covenant requirements. Management performed an assessment of the potential impact of this event on the Company, including operational, financial and liquidity considerations. Based on this assessment, management concluded that the event does not have a material impact on the Company's ability to continue its operations, generate cash flows or meet its obligations as they fall due. The Company does not guarantee the borrowings of WEMPCO, is not dependent on WEX for financing support and conducts its operations independently. Accordingly, the event has been classified as a non-adjusting event after the reporting period and no adjustments have been made to these financial statements.

The Directors are not aware of any other material events occurring after the reporting date and before the date of approval of these financial statements that require adjustment or additional disclosure.

Notes to the Financial Statements

OTHER NATIONAL DISCLOSURES

Value Added Statement

	2026 ₦ '000	2026 %	2025 ₦ '000	2025 %
Value Added				
Value added by operating activities				
Revenue	1,301,835		1,431,093	
Bought - in materials and services	(1,343,280)		(1,467,125)	
Other operating income	68,719		114,056	
	27,274	**100**	**78,024**	**100**
Value Distributed				
To Pay Employees				
Salaries, wages, medical and other benefits	71,284		53,090	
	71,284	**261**	**53,090**	**68**
To Pay Government				
Income tax	6,509		17,581	
	6,509	**24**	**17,581**	**23**
To be retained in the business for expansion and future wealth creation:				
Value reinvested				
Depreciation	38,325		-	
Deferred tax	(8,735)		(8,123)	
	29,590	**108**	**(8,123)**	**(10)**
Value retained				
Retained profit/(loss)	(80,109)		15,476	
	(80,109)	**(294)**	**15,476**	**20**
Total Value Added	**27,274**	**100**	**78,024**	**100**

Value added represents the additional wealth which the company has been able to create by its own and employees efforts.

Five-Year Financial Summary

	2026 ₦ '000	2025 ₦ '000	2024 ₦ '000	2023 ₦ '000	2022 ₦ '000
Statement of Financial Position					
Assets					
Non-current assets	255,066	284,411	315,623	356,553	815,443
Current assets	2,633,350	2,415,643	2,187,112	4,300,453	-
Total assets	**2,888,416**	**2,700,054**	**2,502,735**	**4,657,006**	**815,443**
Liabilities					
Non-current liabilities	71,317	80,052	88,176	97,200	228,384
Current liabilities	3,625,980	3,348,774	3,158,809	2,729,002	442,314
Total liabilities	**3,697,297**	**3,428,826**	**3,246,985**	**2,826,202**	**670,698**
Equity					
Share capital	38,016	38,016	38,016	38,016	38,016
Reserves	61,086	61,086	61,086	38,340	38,340
Accumulated loss	(907,983)	(827,874)	(843,352)	1,754,448	68,389
Total equity	**(808,881)**	**(728,772)**	**(744,250)**	**1,830,804**	**144,745**
Total equity and liabilities	**2,888,416**	**2,700,054**	**2,502,735**	**4,657,006**	**815,443**
Statement of Profit or Loss and Other Comprehensive Income					
Revenue	1,301,835	1,431,093	718,349	227,300	354,804
Cost of sales	(1,222,829)	(1,376,960)	(530,645)	(243,412)	-
Gross profit (loss)	**79,006**	**54,133**	**187,704**	**(16,112)**	**354,804**
Other operating income	68,719	114,056	9,438	2,706,263	-
Other operating expenses	(230,060)	(143,255)	(2,761,898)	(118,776)	(798,654)
Operating (loss) profit	**(82,335)**	**24,934**	**(2,564,756)**	**2,571,375**	**(443,850)**
(Loss) profit before taxation	**(82,335)**	**24,934**	**(2,564,756)**	**2,571,348**	**(443,850)**
Taxation	2,226	(9,458)	(33,044)	(885,295)	12,626
(Loss) profit for the year	**(80,109)**	**15,476**	**(2,597,800)**	**1,686,053**	**(431,224)**
Retained (loss) income for the year	**(80,109)**	**15,476**	**(2,597,800)**	**1,686,053**	**(431,224)**
Per share data (in kobo)					
Earnings per share (Basic)	(105)	20	(3,417)	2,218	(567)
Earnings per share (Diluted)	(105)	20	(3,417)	2,218	(567)
Net assets per share	(1,064)	(959)	(979)	2,408	190

Loss/earnings per share (basic and diluted) are based on loss/profit after tax and the number of issued and fully paid ordinary shares at the end of each financial year.

Net assets per share is based on the net assets total and the number of issued and fully paid ordinary shares at the end of each financial year.